

time. He told me it would be a great year for corn, a bountiful harvest, and, more to the point, that corn had a beautiful chart. "That means you'd recommend I buy corn futures," I assumed out loud. "Of course not," he corrected. "You shouldn't be a buyer. You should be a seller."

What he was suggesting was that I "sell" some corn futures, which was the commodity equivalent of shorting a stock, i.e., getting paid for something without actually owning it and then hoping the price would go down. This had certain appealing ramifications I'll discuss later, but what puzzled me at the time was: if it was going to be such a great year for corn, then why should I want to bet on the short side of the market?

In that regard, Mr. Silverstein explained an important difference between commodities and stocks. When a company does well in real life, its stock price goes up on the stock market, whereas when a commodity, say, corn, does well in real life, its futures price goes down on the commodities market. The worst thing that could happen to a commodities investor on the positive, or long, side of the corn market was a bountiful harvest. The best thing that could happen was a drought, a plague, a fire, a hurricane, an earthquake or some similar disaster that will kill off the physical commodity and, in the resulting scarcity, drive the price up. Since this was just the opposite of what I'd learned on Wall Street, I wrote down Useful Tip Number 19:

The worse things get, the better their futures

For further confirmation on Mr. Silverstein's advice to short corn, I got in touch with Jordan Hollander, a famous corn trader whose family held the oldest continuous membership at the Board of Trade. He'd also graduated to an upstairs office, but I didn't see a computer there. I saw a kidney-shaped formica table and a girlie calendar from an auto-parts store, plus several other items that you'd expect to find in a time capsule from the Eisenhower administration. Mr. Hollander wore snazzy suspenders and looked as if he might have served in the Eisenhower administration as well.